Case Analysis 2: NCAA v. Alston

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The case being analyzed is National Collegiate Athletic Association v. Alston, 594 US (2021) and it was decided by the Supreme Court of the United States. The defendants were the National Collegiate Athletic Association (NCAA) and eleven Division 1 conferences. The plaintiffs in the case were Shawne Alston and other former Division 1 basketball and football players. The opinion was written by Justice Gorsuch with Justice Kavanaugh filing a concurrence. Since the NCAA and the American Athletic Conference both appeared, the Supreme Court consolidated two petitions (numbers 20-512 and 20-520) with the NCAA as the petitioner and these athletes being the ones responding. The case appears in volume 594 of the United States Reports and it was decided on June 21st, 2021. The case reached the court on writs of certiorari to the US Supreme Court of Appeals for the Ninth Circuit. The court affirmed that their injunction against specific NCAA limits on education related benefits was consistent with other antitrust law.

The NCAA has about 1,100 member schools spread across three divisions and Division 1 schools, especially the Football Bowl Subdivision and the Big 10 conference, bring in the best athletes and generate the most profit for these institutions. The individuals involved in the college sports business are paid very well. The NCAA president earned close to $4 million, conference commissioners earned $2-$5 million, athletic directors averaged more than $1 million, and top football coaches approached $11 million (NCAA v. Alston, 2021). The athletes who participate in college sports are not paid a salary because the NCAA rules limit what a school can give these players. These limits have changed over time with Early NCAA rules banning any form of payment to athletes. The 1948 “Sanity Code” allowed schools to cover tuition, and later rules added room, board, books, and fees. In 2014, the NCAA let conferences raise scholarships to the full cost of attendance (NCAA v. Alston, 2021). The court treated this

history as important because it shows the progression of the NCAA's idea of amateurism. In this case, the plaintiffs filed a class action, and the district court held a bench trail for 10 days. Several key facts were not disputed but the NCAA and its members agreed to the compensation limits which affect interstate commerce and these limits are enforced by punishing violations. The district court defined the relevant market as the market for athletic services in men's and women's Division 1 basketball and FBS football which found that the NCAA has "near complete dominance" there (NCAA v. Alston, 2021). The court issued a mixed ruling that placed limits on scholarships being capped at the full cost of attendance and on payments unrelated to education. However, it struck down rules that limited education related benefits such as graduate school scholarships, tutoring, and paid post-eligibility internships. The injunction was issued in March 2019 and took effect in August 2020 with both sides appealing and the Ninth Circuit confirming this ruling. The athletes didn't ask the Supreme Court to take any further actions, so the NCAA was the only party asking for a review (NCAA v. Alston, 2021).

The athletes sued under Section 1 of the Sherman Act, 15 U.S.C § 1, which bars any "contract, combination, or conspiracy in restraint of trade or commerce" (Legal Information Institute, n.d). Their claim was that the NCAA and other member schools agreed with one another to limit what any school could offer a recruit. In antitrust terms, this is essentially an agreement among competitors to fix the price of the labor, which is participating in these sports. The court said this directly and labeled the suit as one related to "admitted horizontal price fixing in a market where the defendants exercise monopoly control" (NCAA v. Alston, 2021). Since the NCAA is the single major buyer of these athletic services, the court used the term "monopsony" which refers to a buyer with so much power that they can essentially push the price of what it

buys below a competitive level. This case is a contract story where the NCAA's rules exist because member schools contractually have agreed to follow them.

The Supreme Court affirmed the Ninth Circuit with the vote being unanimous. Justice Gorsuch wrote the opinion for the court and Justice Kavanaugh joined it in full but also wrote a separate concurrence (NCAA v. Alston, 2021). The court stated that lower courts were correct in judging the NCAA's rules under full rule of reason rather than a quick deferential review. The court also ruled that the district court's injunction against the NCAA's limits on education related benefits was consistent with already established antitrust law. The result of this was that the NCAA can no longer enforce particular pay caps on what schools and conferences may give their athletes (NCAA v. Alston, 2021).

The impact was narrow but allows schools and conferences to offer education related benefits that the NCAA used to prohibit such as scholarships for graduate or vocational school, paid tutoring, and computers (NCAA v. Alston, 2021). The NCAA may also still cap cash awards for academic achievement as long as the cap is not set below the cap for athletic awards, which was $5,980 a year at that time (NCAA v. Alston, 2021). Everything else stayed the same and the injunction applies only to the NCAA and to agreements across multiple conferences, meaning an individual conference can choose to enforce certain restrictions if it wants. The legal impact was that the court refused to treat the NCAA as a special case since it said the NCAA's amateurism comments in Board of Regents were stray remarks and not binding, therefore if the NCAA wants an exemption from antitrust law it should ask Congress for one (NCAA v. Alston, 2021). Justice Kavanaugh helped explain what this means saying that the NCAA's remaining

pay rules should get ordinary rule of reason and in future scenarios, every NCAA compensation ruling has to be justified with evidence.

The court described the ruling as a three-step burden-shifting framework that was taken from Ohio v. American Express Co (2018). During step one, the plaintiff has the initial burden to prove that the restraint being challenged has a substantial anticompetitive effect. If the plaintiff does this, the burden shifts to the defendant during step two, where they have to show a procompetitive rationale for this restraint. If the defendant ultimately succeeds, the burden shifts back during step three, and the plaintiff has to show that the procompetitive benefits could be achieved reasonably through means that are less anticompetitive (NCAA v. Alston, 2021). The court also warned that these stops don't represent a checklist that must be followed, the point of the rule of reason is to fit the inquiry to the facts of what happened in the case. The court also noted that step one is hard for plaintiffs with about 90% of rule of reason cases ending because the plaintiff couldn't show a substantial anticompetitive effect (NCAA v. Alston, 2021).

The court's discussion had two layers with the first being whether the rule of reason should apply at all and the second being whether the district court applied it correctly. The full rule of reason applied because the NCAA argued that it is a joint venture, meaning the Board of Regents (1984) had approved its amateurism rules and that its schools and educators are not commercial enterprises ((NCAA v. Alston, 2021). The court rejected each of these arguments and it assumed that the NCAA is a joint venture but said that a joint venture with monopoly power in the relevant market that still gets ordinary scrutiny. A quick look works for restraints at the two extremes, such as a tiny market share on one end and an obvious price and output restriction on the other (NCAA v. Alston, 2021), with the NCAA's wage rules sitting right in

between. The court separated rules that are necessary to produce a game, such as the number of players on the field, from the rules that fix athlete pay. On Board of Regents, the court explained that the 1984 case was about television rights, not athlete pay, and its praise of amateurism assumed that NCAA rules were procompetitive. (NCAA v. Alston, 2021). Regarding the claim that the NCAA serves education and not commerce, the court pointed to its earlier cases that refuse special treatment for individuals. (NCAA v. Alston, 2021). Step one was that the district court found that the NCAA has monopsony power and that its limits reduce athlete compensation below what a competitive market would pay. Step two was the NCAA's defense being that its rule preserve amateurism, which gives consumers a product is distinct. The court accepted that the NCAA may use benefits in the consumer market to justify restraints in the labor market, but the district court found that the NCAA had no established, consistent definition of amateurism. They also found that its experts didn't have real studied and proven measures of consumer demand. (NCAA v. Alston, 2021). The district court did find that rules against unlimited payments unrelated to education may keep college sports different from pro sport which is why the caps on these stayed in place. Step three had the athletes then show that the education-related caps could be lifted without hurting the benefit because things like graduate school scholarships and tutoring emphasize that the recipients are students and cannot be mistaken for a salary (NCAA v. Alston, 2021). The NCAA argued that the district court had really required the least restrictive means and the court agreed that a least restrictive means test would be wrong, but it found that the district court never did that (NCAA v. Alston, 2021). The district court struck the rules only after finding them stricter than necessary, but the court also rejected the claim that the lower courts redefined the NCAA's product, since a party can't relabel a restraint as a product feature to avoid scrutiny.

The NCAA's last objection was that allowing these educational benefits may open the door to misconduct because it feared schools might hand out luxury cars to get to class and other items that weren't generally designated for educational purposes. The courts answer was that this reads the injunction too broadly with the injunction covering only benefits that are generally education related. The NCAA is free to forbid in-kind benefits that are unrelated to a student's actual education, and therefore nothing stops it from enforcing a no Lamborghini rule (NCAA v. Alston, 2021). The reason behind this is that the district court refused to enjoin NCAA rules that bar compensation that is unrelated to educational activities, so the NCAA already has room to police misbehavior. The district court also invited the NCAA to write its own definition of what counts as related to education and to ask the court to modify the injunction to match (NCAA v. Alston, 2021). The NCAA also followed this approach on internships by adopting a bylaw saying only a conference or institution may fund post eligibility internships. The court said that if the NCAA truly believed the order was ambiguous, they could ask the district court for clarification (NCAA v. Alston, 2021). The court was not willing to decide hypothetical problems that the NCAA had never brought to trial in front of a judge. This also demonstrates the courts' wider view of leaving as much room as possible for the organization to regulate itself.

I mostly agree with this ruling, and I think the narrowness of the response is a great strength. The NCAA's own lawyers agreed that the no pay for play rule is a significant restraint on a relevant market. The NCAA's defense depended on amateurism, but the district court could not find a consistent definition of the term (NCAA v. Alston, 2021). A defense that leans on an idea that the defendant can't define and on evidence that can't be shown, will not win any burden-shifting test. I also think the court was right by separating the education-related benefits from cash because a graduate school scholarship doesn't automatically turn a student into a

professional. A valid contract needs offer, acceptance, and consideration where each side gets something of value (Spengler, Anderson, Connaughton, & Baker, 2022). The athlete gives athletic services, the school gives value, and the price is set by a rule that neither the athlete nor any single school can negotiate. Justice Kavanaugh made a good point when he observed that money flows to college presidents, athletic directors, coaches, commissioners, and NCAA executives, not the athletes who actually generate the money (NCAA v. Alston, 2021). The NCAA and its supporters make real arguments such as the fact that amateurism has real value, and fans may prefer a game played by students opposed to paid professionals. The court didn't reject this, but it accepted that the NCAA may justify its rules by pointing to consumer demand and also upholding the district courts findings that limits on pay unrelated to education which may help preserve this demand.

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